NatWest Group | Excess-return valuation

LSE: NWG | Financial base date: 30 Sep 2026 (Q3) | Reference price: 597.60p close on 9 Nov 2026 | Pence per share

Excess-return value / share	**532.6p**
Indicative downside vs reference	**(10.9%)**
Justified P/TNAV	**1.48x**
Market P/TNAV	**1.66x**

The 532.6p output is assumption-sensitive. A full bank model with explicit capital and credit-risk constraints is required before treating it as a usable valuation.

METHOD & VALUATION READ-THROUGH

Residual-income / excess-return valuation: opening TNAV plus the present value of forecast returns above the cost of equity and a terminal excess-return value. Cost of equity is 11.17% using a 5.1392% UK 10-year gilt yield (5 Nov), 1.10 analyst beta and 5.48% UK total ERP (Damodaran country table checked 10 Nov). Terminal RoTE is 14.0%; long-run growth is 2.0%.

KEY DATA & MODEL DRIVERS

- Q3 2026 reported TNAV 359p, CET1 13.5%, RWAs £200.5bn, 7,931m shares in issue and 9M RoTE 20.2%; Q3 RoTE was 21.6%.

- Forecast RoTE fades from 19.0% in Y1 to 16.0% in Y5; tangible equity grows 4.0% per year by analyst assumption.

- Market P/TNAV is 1.66x. The three external peer references (Lloyds, Barclays, HSBC) imply a median 1.77x; HSBC is a global bank and not a pure UK domestic comparable.

- The model implies a terminal RoTE of approximately 16.3% at the observed share price under the other base assumptions.

WHAT IS NOT YET PROVEN / MODEL LIMITATIONS

- The former three-point P/TNAV regression was removed. Three peers are too few and too heterogeneous for a meaningful statistical regression.

- The model does not forecast CET1 / RWAs, regulatory capital buffers, distribution constraints, stress losses or segment-level earnings. It is not a full FIG operating model.

- The 4.0% tangible-equity growth, 1.10 beta, RoTE fade and 14.0% terminal RoTE are analyst assumptions. Distributions are derived as earnings less retained tangible equity.

- The share-price reference date (9 Nov) is later than the latest accounting data (30 Sep); peer TNAV data are latest reported and are not all identical in quality or business mix.

PRIMARY SOURCES

NatWest Q3 2026 results (30 Oct 2026) | NatWest results centre / Q3 data | Bank of England gilt curve (5 Nov 2026) | Damodaran country ERP table (10 Nov 2026) | Peer quote and TNAV data (9 Nov / latest reported)